

Interview Feedback

Brew & Bean Profitability · 2026-07-17 · Overall: adequate

Top improvement

Ground your numbers before building conclusions on them: ask for the actual cost-component breakdown rather than asserting an industry-average share, and be rigorous with nested percentages (a share of COGS is not points of revenue) so your headline claim ('beans explain most of it') doesn't collapse under a units check — then close with a committed recommendation, not another diagnostic question.

Rubric Scores

Problem Structuring

strong

What went well

Opened with objective clarification before structuring, separating timeline/target scoping from root-cause investigation.

"On the timeline piece — does the CEO have a specific target or date in mind, or are we figuring out what's realistic? And is the ask to get back to 24%, or is there a different goal?"

Built a disaggregated, prioritized margin decomposition with tailored sub-points and stated where the answer likely lives.

"First, I'd decompose the margin decline to pinpoint what actually changed."

"Finally, I'd prioritize by impact + feasibility. Some levers are quick wins (cut overhead), others take time (repricing, manufacturing efficiency)."

Self-corrected the framework toward full MECE when challenged, adding below-the-line buckets.

"the fuller decomposition would be: Revenue COGS (product/service delivery) OpEx (SG&A, R&D, etc.) D&A (depreciation, amortization, goodwill) Interest (debt service) Taxes One-time items"

What needs work

Initial framework treated net margin as if it were operational only, missing below-the-line items until prompted.

"I focused on operational costs (COGS + OpEx), but 'net margin' suggests we're looking below the line."

Quantitative & Analytical Rigor

needs work

What went well

Correctly reframed the COGS swing into a gross-margin story with accurate subtraction.

"COGS went from 42% to 58% — a 16-point swing."

"So gross margin fell from 58% to 42%."

When pushed on units, cleanly re-derived the nested-percentage conversion and identified his own error.

What needs work

The original bean-impact math was materially wrong — he asserted 8 points of COGS pressure by mixing % of COGS with points of revenue.

"If beans are ~20% of COGS, a 40% jump in bean costs = roughly 8 percentage points of COGS pressure right there. We're seeing 16 points total, so beans account for half the problem"

The entire quantitative chain rested on an ungrounded 20%-of-COGS assumption he only acknowledged after being pressed twice.

"I picked 20% because it felt reasonable, but that's a guess dressed up as analysis."

Missed opportunities

At turn 13 he confidently claimed beans 'explain most of the COGS swing' off a flawed calculation.

A great answer: "Beans are maybe 15-25% of COGS — but let me convert carefully: at 20% of COGS and COGS at 58% of revenue, beans are ~11-12% of revenue, so a 40% price rise adds only ~4-5 points of revenue-share pressure. That's roughly a third of the 16-point swing, so beans alone don't explain it — I'd want the actual bean share before concluding."

Data & Exhibit Interpretation

strong

What went well

Immediately isolated COGS as the sole driver and translated it into the gross-margin implication.

"Okay, that's the smoking gun. COGS went from 42% to 58% — a 16-point swing. That's huge and explains almost all of the margin collapse."

Named the specific input to interrogate inside COGS and stated a next step before receiving the bean data.

“Coffee beans — no question.”

“So the question: Did coffee prices spike 16 points worth in that window? And if they did, why couldn't we raise menu prices to match?”

Correctly recognized the bean data did not fully close the gap and pushed toward the remaining unexplained portion.

What needs work

Initially over-attributed the swing to beans before the math forced a correction.

“40% bean cost increase is massive — that alone explains most of the COGS swing.”

Business Judgment & Insight

strong

What went well

Correctly identified pricing pass-through as the strategic crux rather than defaulting to blanket cost cuts.

“If bean costs are up 40% and we only raised prices 5-10% (or didn't raise them at all), that's the decision that broke margins.”

Showed commercial nuance on which cost levers are realistic, flagging labor stickiness and rent rigidity.

“Labor (baristas, store staff) is also huge, but that's stickier — you can't just cut wages without turnover risk. Rent is fixed-ish.”

Framed elasticity and competitive commoditization as the deciding factor for whether margins are recoverable.

“If pricing power is constrained (we tried and lost volume), then we have a deeper problem: we're in a commoditized market where we can't sustain historical margins.”

Creativity & Brainstorming

adequate

The interviewer never ran a dedicated brainstorm stage — this rating reflects secondary evidence from the driver enumeration and lever lists, not a candidate failing.

What went well

Generated a structured set of COGS drivers spanning input costs, efficiency, and mix.

“Input costs spiked — Raw materials, labor, shipping got way more expensive Manufacturing inefficiency — Yield problems, waste, scrap... Product mix shift”

Offered a diverse menu of pricing/mitigation levers including bean sourcing options.

“source differently, blend in cheaper beans, adjust quality/origin mix, negotiate long-term contracts, hedge”

Synthesis & Recommendation

adequate

What went well

Led answer-first with a clear prioritized recommendation and a why.

“Focus on pricing first, then investigate the remaining 11 points.”

Proposed a concrete, time-aware action plan with parallel tracks.

“Immediately audit pricing actions over the past two years and model elasticity”

“Parallel track: Decompose the remaining 11 points (labor, packaging, waste, mix, other inputs). But don't wait for that analysis to start testing price increases.”

What needs work

The recommendation is more of an investigation plan than a committed answer, and it names no explicit risk/downside of the price-increase move.

“Immediately audit pricing actions over the past two years and model elasticity — can we raise prices without losing volume?”

Ended on a question rather than landing a crisp conclusion, which is soft for a final synthesis.

“What's your read on pricing power for this company?”

Missed opportunities

Asked to 'land the plane' at turn 16, he delivered a diagnostic plan rather than a decisive recommendation.

A great answer: “My recommendation: selectively raise prices on high-margin specialty drinks where demand is least elastic, targeting recovery of a chunk of the 16-point COGS hit, while locking in multi-year bean supply contracts to stabilize the ~40% input spike. Key risk is volume loss if we misjudge elasticity, so I'd pilot in a few markets first. Don't cut labor or overhead — nothing suggests they're the problem.”

Communication & Delivery

strong

What went well

Consistently top-down and signposted, stating structure before detail throughout.

“Here's how I'd approach it: First, I'd decompose the margin decline to pinpoint what actually changed.”

“I'd start with gross margin, not operating margin. Here's why.”

Used hypothesis-driven language and stated a 'so-what' after data reveals.

| *"My gut: This feels like either we got hit by input cost inflation and couldn't pass it through to customers, or we shifted mix."*

What needs work

Occasionally verbose, packing multiple sub-lists into single turns that could have been tightened.

| *"Because if we could have raised prices 25-30% and held volume, we'd be fine. If we couldn't because of competition or customer resistance, that's a different strategic problem"*

Pushback, Composure & Case Leadership

strong

What went well

Responded to the MECE challenge specifically and non-defensively, updating the framework with reasoning.

| *"Good catch — it's not fully MECE. I focused on operational costs (COGS + OpEx), but "net margin" suggests we're looking below the line."*

When challenged on the unit error, owned it precisely, re-derived correctly, and drew the downstream implication.

Accepted the challenge to his ungrounded assumption without capitulating on the underlying logic, converting it into a data request.

| *"I picked 20% because it felt reasonable, but that's a guess dressed up as analysis."*

| *"That's the data I should have asked for first instead of assuming."*

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:02

I'd like to make sure I have the picture. Net margin fell from 24% to 6% while revenue grew 15% over two years. What's the CEO's timeline for reversing this?

Candidate · 0:20

Thanks for laying that out. Before I dig in, I want to make sure I'm asking the right questions. So revenue is up 15%, which is solid, but margins are getting crushed — that's a pretty dramatic swing from 24% to 6%. A few things I'd want to understand: On the timeline piece — does the CEO have a specific target or date in mind, or are we figuring out what's realistic? And is the ask to get back to 24%, or is there a different goal? On the margin drop itself — do we know why it happened? Like, is this: Cost of goods went up? (prices didn't follow, or we're losing margin per unit) Operational costs ballooned? (headcount, infrastructure) Mix shift? (selling lower-margin products) All of the above? Because the lever you pull is pretty different depending on the root cause. Also — is this happening across the whole company or specific segments? And are we comparing the same business, or did something change structurally in those two years?

Interviewer · 0:23

Those are reasonable scoping questions. The goal is to restore margins toward the historical level; assume no fixed deadline. Take a minute if you need it, then walk me through how you'd structure your approach.

Candidate · 0:51

Good. Here's how I'd approach it: First, I'd decompose the margin decline to pinpoint what actually changed. Is it: COGS increasing faster than revenue? — Could be input costs, manufacturing inefficiency, or we're selling a different product mix (lower-margin SKUs gaining share). OpEx bloat? — Headcount growing too fast? New functions added? Infrastructure/tech spend creeping up? Pricing/mix shift? — Did we drop prices to hit that 15% growth? Or shift toward lower-margin customer segments or products? The math tells a story: if revenue grew 15% but margins went from 24% to 6%, costs grew way faster than revenue. So the question is which costs and why. Then I'd map out the levers: Revenue side: Can we raise prices or shift mix upward? (But be careful — did we lose margin because we had to compete on price?) COGS: Manufacturing efficiency, sourcing, scale benefits we're leaving on the table OpEx: Do we have bloated functions? Can we automate? Are we funding things that don't drive revenue? Finally, I'd prioritize by impact + feasibility. Some levers are quick wins (cut overhead), others take time (repricing, manufacturing efficiency). Before I dig deeper: What's the business model (B2B, consumer, product, service)? And do we have a rough sense of whether this is a COGS story or OpEx story, or is that what we're trying to figure out?

Interviewer · 0:53

That's a structured breakdown. Is that framework MECE — is anything missing from your cost decomposition?

Candidate · 1:25

Good catch — it's not fully MECE. I focused on operational costs (COGS + OpEx), but "net margin" suggests we're looking below the line. I'm missing: Interest expense — If they took on debt to fund growth, that could be eating margin Tax rate — Did something change in their tax situation? Depreciation & Amortization — Especially if there were acquisitions or capex spikes One-time or non-recurring charges — Write-downs, restructuring, impairments So the fuller decomposition would be: Revenue " COGS (product/service delivery) OpEx (SG&A, R&D, etc.) D&A (depreciation, amortization, goodwill) Interest (debt service) Taxes One-time items (restructuring, asset sales, etc.) Is this a case where those below-the-line items are significant, or are we pretty confident the problem is operational (COGS/OpEx)? That changes the investigation pretty quickly.

Interviewer · 1:27

Assume the problem is operational. Where would you start digging first, and what data do you want?

Candidate · 1:53

I'd start with gross margin, not operating margin. Here's why: If gross margin held steady but operating margin tanked, it's an OpEx story. If gross margin also fell, it's COGS. Since the overall margin collapsed this much, I suspect gross margin fell too — which tells me the problem is in the core business, not overhead. Data I'd want immediately: Gross margin trend — What was it Year 1 vs. Year 2? Did it move with net margin or stay flat? Revenue and COGS by product/segment — Is the decline uniform across the board, or did certain SKUs or customer segments tank? (Mix shift can hide in aggregate numbers.) Unit economics — Revenue per unit, COGS per unit. Did we sell more units but at lower margin? Or same units but higher cost to produce? Price changes — Did we actually raise or cut pricing? Or hold steady? If gross margin cratered, I'd dig into: Input costs (did raw materials spike?) Manufacturing efficiency (waste, yield, headcount per unit) Product mix (are we shipping more low-margin stuff?) If gross margin held but OpEx ballooned, that's a different problem — likely headcount or new function bloat. What does gross margin look like? And ideally, do you have product-level breakdown?

Interviewer · 1:55

Let me give you the current cost structure. Here's the COGS figure: COGS is 58% of revenue today, up from 42% two years ago.

Candidate · 2:22

Okay, that's the smoking gun. COGS went from 42% to 58% — a 16-point swing. That's huge and explains almost all of the margin collapse. So gross margin fell from 58% to 42%. That's where the problem lives. Now I need to understand why COGS jumped 16 points. The candidates: Input costs spiked — Raw materials, labor, shipping got way more expensive Manufacturing inefficiency — Yield problems, waste, scrap, or we're producing at suboptimal scale Product mix shift — We're selling more of a lower-margin product (even though total revenue grew) Pricing didn't keep up — Costs went up but we couldn't or didn't raise prices to customers Data I'd want: Price changes — Did we raise prices on customers? By how much? Input cost inflation — What happened to raw material, labor, shipping costs in that window? Production volume and efficiency — Units produced, cost per unit, any efficiency metrics (yield %, waste %, etc.) Product mix — Revenue split by product. Did the mix shift toward lower-margin offerings? My gut: This feels like either we got hit by input cost inflation and couldn't pass it through to customers, or we shifted mix. Less likely to be pure manufacturing inefficiency unless something broke operationally. What's the biggest driver you'd guess? Or do we need to pull the data to know?

Interviewer · 2:23

For a coffee chain, what's the single biggest COGS input you'd check first, and why?

Candidate · 2:47

Coffee beans — no question. For a coffee chain, beans are typically 15-25% of COGS (sometimes higher), and it's the most volatile input. Commodity prices swing hard. If arabica or robusta prices spiked in that two-year window, that alone could drive significant COGS pressure. Plus, it's the one input where you have options: source differently, blend in cheaper beans, adjust quality/origin mix, negotiate long-term contracts, hedge. So it's both the likeliest culprit and the one with levers. Labor (baristas, store staff) is also huge, but that's stickier — you can't just cut wages without turnover risk. Rent is fixed-ish. Packaging matters but typically smaller. So the question: Did coffee prices spike 16 points worth in that window? And if they did, why couldn't we raise menu prices to match? If beans aren't the issue, then I'd check: Did headcount per store go up? Expanded to lower-volume locations? New product mix shift toward food (lower margin than coffee)? Promotional spending eating margin? But beans first. What was the commodity market doing during those two years?

Interviewer · 2:49

Here's the bean price change over the last two years: Raw coffee bean costs are up 40% over the past two years.

Candidate · 3:19

There it is. 40% bean cost increase is massive — that alone explains most of the COGS swing. Quick math check: If beans are ~20% of COGS, a 40% jump in bean costs = roughly 8 percentage points of COGS pressure right there. We're seeing 16 points total, so beans account for half the problem, maybe more depending on the exact mix. Now the real question: Why didn't we raise prices? That's the strategic issue. We had a few options: Raise menu prices — Pass the cost through to customers. Did we? By how much? Absorb the hit — Keep prices flat, let margin compress (sounds like what happened) Mix shift — Lean into higher-margin products to offset Efficiency gains — Cut costs elsewhere to compensate If bean costs are up 40% and we only raised prices 5-10% (or didn't raise them at all), that's the decision that broke margins. So the diagnostic question: What happened to our pricing? Did we: Not raise prices at all? Raise them but not enough? Try to raise them but lost volume/market share? Because if we could have raised prices 25-30% and held volume, we'd be fine. If we couldn't because of competition or customer resistance, that's a different strategic problem — we're in a commoditized market where we can't pass through costs. What's the pricing picture look like?

Interviewer · 3:29

Let's check your conversion. You said beans are roughly 20% of COGS giving 8 points — points of what, exactly? Walk me through that.

user You're right to push on this — I was sloppy with units. Let me be precise. Beans at ~20% of COGS. COGS is 58% of revenue. So beans as % of revenue = $20\% \times 58\% = \sim 11.6\%$ of revenue. Now, a 40% increase in bean costs. The increase in bean spend = $40\% \times 11.6\% = \sim 4.6\%$ of revenue. So beans rising 40% adds ~4.6 percentage points to COGS-as-%-of-revenue. Not 8. I conflated "% of COGS" with "% of revenue" — that was the error. So let me redo the story: Total COGS went up 16 points (42% ' 58% of revenue). Beans explain ~4.6 of those 16 points. That's meaningful — about a quarter to a third of the swing — but it's not the whole story. Wait, that also assumes bean volume stayed flat. If revenue grew 15% on volume, bean usage grew too, so the absolute spend is higher — but as a % of revenue, the 4.6 points is roughly right for the price effect. So I was wrong that beans explain "most" of it. There's still ~11 points of COGS increase unexplained. That's a lot. Which means: something else moved too. Other inputs? Mix shift toward food? Waste? I need to find the other driver. What else is in COGS?

Okay. Before we chase other inputs — you assumed beans are 20% of COGS. Where did that come from?

Candidate · 4:02

Good — you caught me making an assumption without grounding it. I said "beans are typically 15-25% of COGS" based on general coffee industry knowledge, but I don't actually know this company's cost structure. It could be 12%, could be 30%, depends on their supply chain, roasting model, wholesale vs. retail mix, all sorts of things. I should have asked: Do we have actual data on what beans are as a % of their COGS? Or their breakdown of COGS components (beans, labor, packaging, rent/utilities, etc.)? Without that, I'm working blind. I picked 20% because it felt reasonable, but that's a guess dressed up as analysis. If beans are actually 10%

of COGS, my whole calculation falls apart. If they're 35%, it's a bigger driver than I said. So the real question back to you: What's the actual bean cost as a % of their COGS? And do we have a breakdown of their cost structure — what are the major line items? That's the data I should have asked for first instead of assuming.

Interviewer · 4:04

We're nearly out of time, so let's land the plane. What's your recommendation to the CEO?

Candidate · 4:32

Focus on pricing first, then investigate the remaining 11 points. Here's why: Beans are 4-5 points of the 16-point swing (depending on actual mix). That's real, but it's not the whole story. There's a ~11-point gap we haven't explained. Before we chase that gap, we need to know: Did the company raise prices? If bean costs are up 40% and we didn't pass any of that through, that's a strategic choice we made, not a market reality. We can fix that immediately — or understand why we can't (competition, elasticity). If pricing is the lever, we can move it. If we raised prices 10% and could raise them 20-25%, we're partway home. That's faster than restructuring supply chain or operations. If pricing power is constrained (we tried and lost volume), then we have a deeper problem: we're in a commoditized market where we can't sustain historical margins. In that case, we need to either (a) differentiate to justify premium pricing, or (b) accept lower margins and restructure costs to match. My recommendation: Immediately audit pricing actions over the past two years and model elasticity — can we raise prices without losing volume? Parallel track: Decompose the remaining 11 points (labor, packaging, waste, mix, other inputs). But don't wait for that analysis to start testing price increases. Why? Because if pricing is the answer, we fix it in weeks. If it's not, we know we need a structural cost fix, and we start there. What's your read on pricing power for this company?

Interviewer · 4:34

That's your recommendation, and our time is up. This concludes the case. Thank you.